

HOUSE BILL 2456

By Pearson

AN ACT to amend Tennessee Code Annotated, Title 5;
Title 6; Title 7; Title 10; Title 62; Title 65; Title 68
and Title 69, relative to data centers.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Title 65, Chapter 4, is amended by adding
the following as a new part:

65-4-601.

As used in this part:

(1) "Commissioner" means the commissioner of revenue;

(2) "Data center" means a privately owned and operated physical facility
housing computer servers, storage, and networking equipment to store, process,
and distribute data and applications, and that has a power capacity of more than
twenty megawatts (20 MW);

(3) "Department" means the department of revenue;

(4) "Electric utility" means:

(A) A utility, as defined in in § 7-51-2301, that provides electric
service to customers; and

(B) A public utility that provides electric service to customers; and

(5) "Water utility" means:

(A) A utility, as defined in § 7-51-2301, that provides water
service to customers; and

(B) A public utility that provides water service to customers.

65-4-602.

(a) Beginning January 1, 2027, a person shall not operate a data center in this state unless the data center is registered with the department pursuant to subsection (b).

(b) In order to register a data center, the owner or operator of the data center shall provide the following information to the commissioner, in a form prescribed by the department:

(1) The data center's physical address;

(2) The name, mailing address, telephone number, and email address of the person having responsible charge for the data center's operation;

(3) An approximation of the data center's power capacity;

(4) The name of each electric utility and water utility that provides service to the data center;

(5) The name of each supplier of fuel supplied to the data center to provide backup power to the facility; and

(6) Any additional information required by the department by rule.

(c) The owner or operator of a data center shall notify the commissioner of a change in any information provided pursuant to subsection (b) within thirty (30) days of the change.

(d) Upon receipt of a complete registration for a data center, the department shall notify each fuel supplier, electric utility, and water utility providing service to the data center that the suppliers and utilities must report to the commissioner the amount of fuel, electricity, or water, as applicable, that it supplied or provided to the data center during the immediately preceding billing period. Notwithstanding a law to the contrary, a fuel supplier, electric utility, or a water utility shall comply with the reporting requirements of this subsection (d). The reports required by this subsection (d) must be provided to the commissioner within thirty (30) days of the end of each billing cycle during which the

fuel supplier, electric utility, or water utility provides fuel or service to the data center, as applicable.

(e) The owner or operator of a data center shall notify the commissioner within thirty (30) days of cessation of operation of the data center. A registration under subsection (b) is valid until the executive director receives notice of cessation of operation of the data center. Upon receipt of a notice of cessation of operation of a data center, the department shall notify each fuel supplier, electric utility, and water utility providing fuel or service, as applicable, to the data center that the reporting requirements of subsection (d) will cease with regard to that data center immediately following submission of the report for the final billing period during which the data center was operational.

65-4-603.

The department shall compile the data it receives from reports submitted pursuant to § 65-4-602(d) into monthly reports that clearly state the most recently reported fuel supplied to, and the electricity and water use of, each data center in this state. Notwithstanding a law to the contrary, the department shall publish and maintain the reports required by this section on the department's website.

65-4-604.

(a) The department may administratively assess a civil penalty of not more than one thousand dollars (\$1,000) per day up to a maximum of twenty-five thousand dollars (\$25,000) if the owner or operator of a data center fails, without good cause, to timely register or to timely update, correct, or otherwise modify their registration statement as required by § 65-4-602.

(b) In the chancery court of Davidson County, the commissioner, on behalf of the department, may seek injunctive relief to prevent the owner or operator of a data center from engaging in any continuing violation of this part.

SECTION 2. The department may promulgate rules to effectuate this act, with such rules to be promulgated in accordance with the Uniform Administrative Procedures Act, compiled in Tennessee Code Annotated, Title 4, Chapter 5.

SECTION 3. This act takes effect July 1, 2026, the public welfare requiring it.